THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, PRAYAGRAJ

(through web-based video conferencing platform)

CA (CAA) No. 19 /ALD of 2022

(First Motion)

Under Section 230 to 232 And Other Applicable Provisions of the Companies Act, 2013 Read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

ECONOMY COMMOTRADE PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51909UP2008PTC 156431) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD GORAKHPUR-273001, in the State of Uttar Pradesh**.**

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********* Transferor Company No. 1 / Applicant No 1

And

SHREE MAHABIR MANAGEMENT SERVICES PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act,1956 (CIN:U74140UP1986 PTC 153762) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD, GORAKHPUR- 273001, in the State of Uttar Pradesh .

********* Transferor Company No. 2/ Applicant No 2

And

PASHUPATI LAMINATORS PRIVATE LIMTIED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U70102UP2007PTC105372) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD,

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GORAKHPUR-273001, in the State of Uttar Pradesh.

********* Transferee Company / Applicant No 3

Order delivered on: 23.03. 2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)
Hon'ble Mr. Ashish Verma, Member (Technical)

Present through Video Conferencing:

For the Applicant Companies: 1. Ms. Aisha Amin, Advocate
2. Mr N. Gurumurthy, FCA

Per: Praveen Gupta Member (Judicial)

ORDER

1. This is a joint first motion Application filed by the Applicant Companies namely- **ECONOMY COMMOTRADE PRIVATE LIMITED** - Transferor Company No. 1 / Applicant No 1 , **SHREE MAHABIR MANAGEMENT SERVICES PRIVATE LIMITED** - Transferor Company No. 2 / Applicant No 2 with **PASHUPATI LAMINATORS PRIVATE LIMTIED** - Transferee Company / Applicant No 3 under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable

provisions, if any, in relation to the Scheme of Amalgamation of **ECONOMY COMMOTRADE PRIVATE LIMITED, SHREE MAHABIR MANAGEMENT SERVICES PRIVATE LIMITED** with **PASHUPATI LAMINATORS PRIVATE LIMTIED.** The said Scheme is attached as Annexure- G in VOL II at Page No 237 to 267 of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies.

3. The Applicant No. 1 is presently engaged in liaison activities and is earning commission for services rendered and has made investment in its only subsidiary company. The Applicant No. 1 is holding Company of Applicant No 2.

4. The Applicant No. 2 is a NBFC Company duly Registered with Reserve Bank of India and presently engaged in investment and financing activities. The Applicant No 2 is a Wholly Owned Subsidiary of Applicant No 1. Further the Applicant Company No. 2 is the Holding Company of the Applicant Company No. 3.

5. The Applicant Company No. 3 is presently engaged in manufacturing and selling of PP /HDPE woven fabrics, laminated or non-laminated tape, etc. The Applicant Company No. 3 is the Subsidiary Company of the Applicant Company No. 2.

6. The Ld. Counsel for the Applicant submits that the Applicant Companies are all closely held family owned and controlled Companies.

7. It is stated that the registered offices of the Applicant Companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of Applicant Companies lies with this Bench.

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8. The rationale of the Scheme is given below:

a) The TRANSFEREE COMPANY is engaged in the manufacturing of PP/HDPE/Woven Fabrics, laminated or non laminated, tape etc. The Transferor Company No.1 is engaged in trading activities and has also made deployment of funds in investable instruments. The Transferor Company No.2 is a Non Banking Financial Company duly registered with the Reserve Bank of India and is presently engaged in investing and financing activities. The business of the TRANSFEROR COMPANIES and the TRANSFEREE COMPANY can be combined/ adjusted and carried forward conveniently with combined strength;

b) The amalgamation will enable the TRANSFEREE COMPANY to consolidate its line of business by restructuring and re-organizing its business activities and Capital Structure;

c) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the TRANSFEREE COMPANY;

d) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

e) The business of the Transferor Companies can be conveniently and advantageously combined together and in general with the business of the Transferee Company concerned and will be carried on more economically and profitably under the said Scheme;

f) The said Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base

enabling further development of the business of the company concerned. The said scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Company for raising capital, securing and conducting trade on favorable terms and other benefits;

g) The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and in the growth and development of these businesses;

h) The said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

i) The said scheme will enable the undertakings concerned to pool their resources and to expand their activities;

j) The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

k) The said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

9. It is stated that the Board of Directors of the Applicant Companies in their respective meetings held on 21.01.2022 have considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are all annexed with the Application as Annexure- H in VOL II at Page No 268 to 270 of the Application.

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10. The appointed date of the Scheme is 01.04.2021 as mentioned in the Para 1.(b) in Part II under definition of the Scheme of Amalgamation at Page No 310 in VOL II which is annexed as Annexure-G with the application.

11. It is stated that the Applicant Companies have filed their Audited Financial Statements as on 31.03.2021 and the same are annexed as Annexure: B, Annexure D and Annexure F with the Application. It is further stated that Un-Audited Financial Statements (provisional) of the Applicant Companies made up to 31.12.2021 are annexed as Annexure: B1, Annexure D1 and Annexure F1 with the Application.

12. It has been stated that in terms of the provisions of Section 230 (7) and Section 232(3) of the Act, the Applicant Companies have filed Certificates all dated 10.02.2022 issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure-P with Application.

13. It is has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Mr. Vikas Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide registration No. IBBI/RV/01/2018/10339 and the same is annexed as Annexure: I with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report:

a) To every Equity Shareholder of TRANSFEROR COMPANY NO.1, 6371 (Six Thousand Three Hundred and Seventy One) Equity Shares of Rs.10/- each credited as fully paid-up in the TRANSFEREE COMPANY for every 10 (Ten) Equity Shares of

Rs.10/- each fully paid-up held by such Equity Shareholder in TRANSFEROR COMPANY NO.1.

b) To every Equity Shareholder of TRANSFEROR COMPANY NO.2:

a) 27 (Twenty Seven) Equity Shares of Rs.10/- each credited as fully paid-up in the TRANSFEREE for every 10 (Ten) Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in TRANSFEROR COMPANY NO.2 and

b) 273 (Two Hundred and Seventy Three) Equity Shares of Rs.10/- each credited as fully paid-up in the TRANSFEREE COMPANY for every 10 (Ten) Equity Shares of Rs.100/- each fully paid-up held by such Equity Shareholder in TRANSFEROR COMPANY NO.2.

14. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 8 of the Part III of the Scheme (Annexure – G, VOL II, Page No 257)

15. It is submitted by the Ld. Counsel for the Applicants that there is no sectoral regulator in any of the Applicant Companies whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; and (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department.

16. It is submitted by the Ld. Counsel that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no

intimation to / approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

17. It is submitted that supplementary affidavit duly affirmed on 24.11.2022 that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against any of the Applicant Companies. Further it is also submitted that no winding up application has been filed against any of the Applicant Companies and there are no liquidation proceedings against any of the Applicant Companies. The same has been filed under Diary No 0902109002272022 on 16.01.2023.

18. It is submitted that the Applicant Companies have filed a supplementary affidavit duly affirmed on 03.09.2022 wherein they have annexed the consent of the Secured Creditors and Unsecured Creditors. The same has been filed under Diary No 0902109002272022 on 03.11.2022.

19. The applicant companies have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2021 and Unaudited Financial Statement (Provisional) as on 31.12.2021 of the Applicant Companies (Annexure- B & BI, VOL I at page No 60 to 83 and 84 to 89, D & DI, VOL I at page No 106 to 136 and 137 to 143, F & F I, VOL I at page No. 166 to 222 and 223 to 236 respectively of the application).

b) Proposed Scheme of Amalgamation (Annexure – G, VOL-II at Page No 237 to 267 of the Application)

c) Certified true copy of extract of the minutes of the board resolution of the applicant companies approving the Scheme (Annexure- H, VOL II at Page No 268 to 270 of the application).

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d) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure- I, VOL III at Page No 271 to 288 of the application)**.**

e) List of equity shareholders of the Applicant No 1 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - J - VOL III Page No 289 to 301 of the application).

f) List of equity shareholders of the Applicant No 2 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - K-, VOL III Page No 302 to 310 of the application).

g) List of equity shareholders of the Applicant No 3 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - L, VOL III Page No 311 to 340 of the application).

h) Nil Secured Creditors and Unsecured Creditors of the Applicant No 1 duly certified by the Chartered Accountant. (Annexure – M, VOL III at Page No 341 of the application).

i) Nil Secured Creditors and Unsecured Creditors of the Applicant No 2 duly certified by the Chartered Accountant. (Annexure – N, VOL III at Page No 342 of the application).

j) List of Secured Creditors and Unsecured Creditors of the Applicant No 3 along with respective consent affidavits of Secured Creditors and Unsecured Creditors approving the Scheme and dispensing

with the requirement to convene the meeting duly certified by the Chartered Accountant. (Annexure – O, VOL III at Page No 343 to 344 of the application , and Annexure – A, A1 to A2, A3 at to A17 page No 6 to 7, 8 to 17, 18 to 63 to supplementary affidavit)

k) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure- P, VOL III at Page No 345 to 350 of the application).

20. It is submitted by the Ld. Counsel for the Applicants that the Transferee Company / Applicant No 3 had 21 Unsecured Creditors aggregating to Rs 24,30,37,364/. It is further submitted that out of 21 Unsecured Creditors, 6 Unsecured Creditors aggregating to Rs 3,89,61,467/- have been paid off prior to the filing of the Company Application. Further remaining 15 Unsecured Creditors aggregating to Rs 20,40,75,896/- have given their 100% consent to the proposed Scheme of Amalgamation by way of affidavit.

21. It is submitted by the Ld. Counsel for the Applicants that the Applicant Companies had following class of shareholders and creditors :

	SHAREHOLDERS ALONG WITH THEIR CONSENT ON AFFIDAVIT			
PARTICULARS	EQUITY SHARE HOLDERS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT	PREFERENCE SHARE HOLDERS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT
TRANSFEROR	4	100%	NIL	N/A

COMPANY NO 1 / APPLICANT NO 1				
TRANSFEROR COMPANY NO 2 / APPLICANT NO 2	3	100%	NIL	N/A
TRANSFEREE COMPANY / APPLICANT NO 3	9	100%	NIL	N/A

	CREDITORS ALONG WITH THEIR CONSENTS ON AFFIDAVIT			
PARTICULARS	SECURED CREDITORS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT	UNSECURED CREDITORS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT
TRANSFEROR COMPANY NO 1 / APPLICANT NO 1	NIL	N/A	NIL	N/A
TRANSFEROR COMPANY NO 2 / APPLICANT NO 2	NIL	N/A	NIL	N/A
TRANSFEREE COMPANY / APPLICANT	2	100 % consent obtained.	21	6 Unsecured Creditors paid. Consent 100 %

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NO 3				of the remaining 15 unsecured creditors.

22. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company No 1 /Applicant Company No. 1:

a) The meeting of the Equity Shareholders of Transferor Company/Applicant Company No. 1 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company/Applicant Company No. 1, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company/Applicant Company No. 1, the requirement of convening the meeting Unsecured Creditors does not arise.

ii. In relation to the Transferor Company No 2 /Applicant Company No. 2:

a) The meeting of the Equity Shareholders of Transferor Company No 2/ Applicant Company No. 2 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

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b) Since, there are no Secured Creditors in the Transferor Company No 2/ Applicant Company No. 2, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company No 2/ Applicant Company No.2, the requirement of convening the meeting Unsecured Creditors does not arise.

iii. In relation to the Transferee Company/Applicant Company No. 3:

a) The meeting of the Equity Shareholders of Transferee Company/ Applicant Company No. 3 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) The meeting of the Secured Creditors of Transferee Company/ Applicant Company No. 3 is dispensed herewith, keeping in view that 100% in value of Secured Creditors of Transferee Company/ Applicant Company No. 3 have given their consents by way of affidavits.

c) The meeting of the Unsecured Creditors of Transferee Company/ Applicant Company No. 3 is dispensed herewith, as 6 Unsecured Creditors have been paid off and keeping in view that 100% in value of the remaining Unsecured Creditors of Transferee Company/ Applicant Company No. 3 have given their consents by way of affidavits.

23. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Company to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the

office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department by disclosing the PAN number of the Applicant Company in the Second Motion Petition.

24. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

25. The application being Company Application CA (CAA) No. 19 / ALD / 2022 is disposed of accordingly.

26. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

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Ashish Verma
Member (Technical)

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Praveen Gupta
Member (Judicial)